

ANNEXURE-III

Business Responsibility Report

Section A: General Information about the Company

1.	Corporate Identity Number (CIN) of the Company	L65910DL1986GOI026363
2.	Name of the Company	Indian Railway Finance Corporation Limited
3.	Registered address	Room Nos. 1316 - 1349, 3rd Floor, The Ashok, Diplomatic Enclave, 50-B, Chanakypuri New Delhi-110021
4.	Website	https://irfc.co.in/
5.	E-mail Id	investors@irfc.co.in
6.	Financial year reported	2021-22
7.	Sector(s) that the Company is engaged in (industrial activity code-wise)	Systemically Important Non-Deposit taking Non-Banking Financial Company (NBFC – ND-SI) and Infrastructure Finance Company (NBFC- IFC) with Reserve Bank of India (RBI)
8.	Key products / services that the Company manufactures / provides (as in balance sheet)	The Company's principal business is to borrow funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways, Lease Income & Interest income.
9.	Total number of locations where business activity is undertaken by the Company	1 (One)
10.	(a) Number of International Locations	None
	(b) Number of National Locations	1 (One)
	Markets served by the Company - Local/State/National/ International	IRFC serves the Indian markets, and its business extends throughout the country. For resource mobilization purpose, the Company also taps international capital markets besides domestic markets.

Section B: Financial Details of the Company (as on 31st March 2022)

1.	Paid-up Capital	₹ 1,30,68,50,60,000
2.	Total Turnover	₹ 20,298.27 crore
3.	Total Profit After Taxes	₹ 6,089.84 crore
4.	Total spending on Corporate Social Responsibility (CSR) as percentage of profit after tax	Company was required to spend ₹ 70.06 crore, being 2% of its average net profits of the last three financial years, against which the Company approved total 24 projects with total outlay of ₹ 70.06 crore, against which Company has disbursed a sum of ₹ 45.02 crore. Balance amount of ₹ 25.04 crores will be disbursed on receipt of claims / bills.
5.	List of activities in which expenditure in 4 above has been incurred.	The major areas on which projects has been approved includes Environment Sustainability, promoting health care and education besides contribution to PM CARES Fund, Swacch Bharat Kosh and Clean Ganga Fund and List of activities approved is provided in ANNEXURE – IV.

Section C: Other Details

1.	Does the Company have any subsidiary Company/ Companies?	No
2.	Do the Subsidiary Company/ Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s).	No
3.	Do any other entity /entities (e.g., suppliers, distributors etc.) that the Company does business with participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/ entities?	No

Section D: BR Information

1. Details of Director responsible for BR / BR Head

Sr. No.	Particulars	Details
1.	Name	Shri Amitabh Banerjee
2.	Designation	Chairman & Managing Director
3.	DIN	03315975
4.	Telephone number	011-24100380
5.	E-mail id	cmd@irfc.co.in

2. Principle-wise (as per NVGs) BR Policy / policies

Regulation 34(2)(f) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, read with SEBI Circular dated November 4, 2015, provides that Top 1000 listed companies shall formulate a structured Business Responsibility Report based on the following nine principles, describing the initiatives taken by them from an environmental, social and governance perspective: -

Principle 1 (P1)	Businesses should conduct and govern themselves with Ethics, Transparency and Accountability. [Ethics, Transparency & Accountability]
Principle 2 (P2)	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle. [Sustainability in Life-Cycle of Product]
Principle 3 (P3)	Businesses should promote the well-being of all employees. [Employee Well-Being]
Principle 4 (P4)	Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized. [Stakeholder Engagement]
Principle 5 (P5)	Businesses should respect and promote human rights. [Promotion of Human Rights]
Principle 6 (P6)	Businesses should respect, protect and make efforts to restore the environment. [Environmental Protection]
Principle 7 (P7)	Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner. [Responsible Public Policy Advocacy]
Principle 8 (P8)	Businesses should support inclusive growth and equitable development. [Inclusive Growth and Equitable Development]
Principle 9 (P9)	Businesses should engage with and provide value to their customers and consumers in a responsible manner. [Customer Value]

2(a) Details of compliance (Reply in Y/N)

Sr. No.	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have a policy/policies for the Principle?	Y	Y*	Y	Y	Y	Y	Y	Y	Y
2.	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y*	Y	Y	Y	-	-	Y	Y
3.	Does the policy confirm to any national/international standards? If yes, specify?	Y	Y	Y	Y	Y	-	-	Y	Y
4.	Has the policy been approved by the Board? If yes, has it been signed by MD/ owner/CEO/appropriate Board Director?	Y	Y	Y	Y	Y	-	-	Y	Y
5.	Does the Company have a specified committee of the Board/Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	-	-	Y	Y
6.	Indicate the link for the policy to be viewed online?	**	**	**	**	**	-	-	**	**
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	-	-	Y	Y
8.	Does the Company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	-	-	Y	Y
9.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Y	Y	Y	Y	Y	-	-	Y	Y
10.	Has the Company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	-	-	Y	Y

Note: (*) IRFC being NBFC, this principle has limited applicability.

(**) The relevant explanation/information/links are mentioned in the **ANNEXURE to BRR**.

2(b)	If answer to the question at Sl. No. (a) against any principle, is 'No', please explain why.	Not Applicable.
3.	Governance related to BR	
	Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the performance of the Company.	The BR activities of the Company are overseen by Functional Director(s) and the Board also reviews the Business Responsibility Report as part of Directors' Report on annual Basis.
	Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?	The current BRR Report shall form part of Annual Report of the Company for FY 2021-22 and shall be available on company's website: https://irfc.co.in/

Section E: Principle-wise performance

Principle 1 - Ethics, Transparency & Accountability

1.	Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/ No. Does it extend to the Group / Joint Ventures Suppliers / Contractors / NGOs / Others?	Indian Railway Finance Corporation (IRFC) was set up on 12th December, 1986 as the dedicated financing arm of the Indian Railways for mobilizing funds from domestic as well as overseas Capital Markets. 1. Code of Business Conduct & Ethics, which captures the behavioral and ethical standards to be followed by the Board Members and Senior Management Personnel of the Company also, sets forth an obligation to strive continuously to bring about integrity and transparency in all spheres of the activities & Work unstintingly for eradication of corruption in all spheres of life. 2. Whistleblower Policy for Directors and Employees to report their genuine concerns or grievances about unethical behavior, actual or suspected fraud or to detect and report any improper activity within the Company. 3. KYC & Prevention of Money Laundering Policy which sets out the fair and transparent practices to be followed by the Company in its lending operations, as prescribed under RBI norms. 4. Manual for Procurement of Goods, Services and works which lays down the procedures to be followed for procurement of goods and services in a fair and transparent manner and also in compliance with the Guidelines of Central Vigilance Commission (CVC). 5. Policy on Materiality of Related Party Transactions and Dealing with Related Party Transactions, which prescribes adequate procedures and disclosures to be made before entering into related party transactions. 6. Prevention of Documents and Archival Policy of the Corporation in the matter of Preservation of Documents / Records Retention and also subject to the provisions of other laws viz., Right to Information Act, 2005, The Public Records Act, 1993 etc as applicable. 7. Prohibition of Insider Trading, which lay down the disclosure by Promoter, Key Managerial Personnel and Director of the Company about their holdings as well as dealings in the Company. 8. Policy of Materiality disclosure of events to the stock exchanges for determination of materiality of events or information for disclosure. 9. Identification of group Companies, Material creditors and material to define the materiality policy for identification of (i) outstanding litigation involving Indian Railway Finance Corporation Limited (the "Company") and its Directors; (ii) the Group Companies, and (iii) material creditors of the Company (together, the "Policy"). 10. Nomination and Remuneration policy which covers a whole gamut of HR functions such as the recruitment, promotion, training and development. 11. Corporate Social Responsibility and Sustainability Policy to support Sustainable Development programs of the Government to save the mother earth and for healthy living of future generations of mankind. 12. Board Diversity Policy is required to devise a policy for having diversity on the board of directors. 13. Dividend Distribution Policy is to formulate a dividend distribution policy which shall be disclosed in their annual reports and on their websites.
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2	How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.	The total number of complaints received during the year 2021-22 were 2,641 out of which 1,579 are bond related complaints and 1,062 complaints are related to Equity, which were resolved and no complaints were pending at the end of the year.
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Principle 2 - Sustainability in Life-Cycle of Product

1.	List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.	The primary objective of IRFC is to meet the predominant portion of 'Extra Budgetary Resources' (EBR) requirement of the Indian Railways through market borrowings at the most competitive rates and terms. The Company's principal business therefore is to borrow funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways. Further, the CSR & Sustainability Policy of the Company is available at https://irfc.co.in/wp-content/uploads/2022/05/CSR-Policy.pdf
2.	For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product. i. Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain? ii. Reduction during usage by consumers (energy, water) has been achieved since the previous year?	from domestic as well as overseas Capital Markets. Not Applicable Not Applicable
3.	Does the Company have procedures in place for sustainable sourcing (including transportation)? (a) If yes, what percentage of your inputs was sourced sustainably? Also provide details thereof, in about 50 words or so.	Not Applicable
4.	Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?	Not applicable as the Company, is a Financial Institution and not in manufacturing of products. We are also following the Government of India's directives, issued from time to time, in respect of reservation for MSME (Micro, Small & Medium Enterprises) in procurements.
5.	Does the Company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste? Also provide details thereof, in about 50 words or so.	Not applicable as the Company, is a Financial Institution and not in manufacturing of products.

Principle 3 - Employee Well-Being

1.	Please indicate the total number of employees	As on 31st March 2022 there were 37 employees in IRFC.
2.	Please indicate the total number of employees hired on temporary/contractual/casual basis	There were 63 employees hired on contractual basis in IRFC as on 31st March 2022.
3.	Please indicate the number of permanent women employees	As on 31st March 2022, there were 8 permanent women employees on the rolls of the company.
4.	Please indicate the number of permanent employees with disabilities	Nil
5.	Do you have an employee association that is recognized by management?	No
6.	What percentage of your permanent employees is members of this recognized employee association?	Nil
7.	Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.	Nil
8.	What percentage of your undermentioned employees were given safety & skill upgradation training in last year?	Nil

Principle 4 - Stakeholder Engagement

1.	Has the company mapped its internal and external stakeholders? Yes/No.	Yes
2.	Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders?	All socially & economically disadvantage groups of the society like SC/ST/OBC/EWC/PwBD & Minorities are identified as disadvantaged, vulnerable & marginalized stakeholders.
3.	Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders? If so, provide details thereof, in about 50 words or so.	All Government of India directives are followed for engagement at various levels of career progression for all reserved category employees (SC/ST/ OBC/PWBD) & Minorities. Various infrastructure arrangements were made for benefits of PWBD persons. Liaison Officers are in place to look after the welfare of the employees in the ambit of these categories. It is ensured that a person of reserved category of appropriate level is nominated as member in various selection and promotion committees to look into the interest of the employees of reserved categories.

Principle 5 - Promotion of Human Rights

1.	Does the policy of the Company on human rights cover only the Company or extend to the Group/Joint Ventures/Suppliers/ Contractors/ NGOs/Others?	IRFC does not have any specific policy on human rights. However, it is embedded in company's various HR policies and practices.
2.	How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?	The Company did not receive any complaint in the area of human rights violations from any of its stakeholders. The total number of complaints received during the year 2021-22 were 2,641 out of which 1,579 are bond related complaints and 1,062 complaints are related to Equity, which were resolved, and no complaints were pending at the end of the year.

Principle 6 - Environmental Protection

1.	Does the policy related to Principle 6 cover only the Company or extends to the Group/Joint Ventures/ Suppliers/ Contractors/ NGOs/others?	The policy is embedded in company's various policies and practices and covers the Company as a whole.
2.	Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.	IRFC is socially conscious organization and fully endorses the nine principles of Global Compact enunciated by the United Nations Organization (UNO) which encompass area of human rights, environment protection and labour rights. These principles of Global Compact are embedded in various organizational policies of the Company thereby facilitating their implementation in a natural way. IRFC consistently strives towards meeting the expectation of the society through proper planning and decision making that will help in achieving a real and lasting reduction of social and economic disparities as well as protecting the environment. IRFC continues to support activities that aim at improving the quality of life of both present and future generations and at the same time safeguarding the capacity of the earth to support life in all its diversity.
3.	Does the Company identify and assess potential environmental risks? Y/N	Not applicable as the Company, is a Financial Institution and not in manufacturing of products.
4.	Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?	Not applicable as the Company, is a Financial Institution and not in manufacturing of products.
5.	Has the Company undertaken any other initiatives on clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.	Not applicable as the Company, is a Financial Institution and not in manufacturing of products.
6.	Are the emissions/waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?	Not applicable as the Company, is a Financial Institution and not in manufacturing of products.
7.	Number of show cause/legal notices received from CPCB/ SPCB which are pending (i.e., not resolved to satisfaction) as on end of financial year.	Not applicable as the Company, is a Financial Institution and not in manufacturing of products.

Principle 7 - Responsible Public Policy Advocacy

1.	Is your Company a member of any trade and chamber or association? If yes, name only those major ones that your business deals with.	No
2.	Have you advocated/ lobbied through above associations for the advancement or improvement of public good? If yes, specify the broad areas.	Not Applicable

Principle 8 - Inclusive Growth and Equitable Development

1.	Does the Company have specified programme/ initiatives/ projects in pursuit of the policy related to Principle 8? If yes details thereof.	IRFC has a CSR and Sustainability policy in place. The aim of the policy is to ensure that the Company becomes a socially responsible corporate entity committed to improving the quality of life of the society at large and contribute to inclusive growth and equitable development in society through education, capacity building measures, empowerment of the marginalised and underprivileged sections/communities. As a socially responsible corporate entity, IRFC endeavours to: - Take up CSR activities in line with the DPE theme "Health & Nutrition" to develop health infrastructure of the country and make best health technologies available to marginalized people of the societies. - Take up activities to support 'Differently abled persons' by providing aid and appliances and skill development training which helps them in enhancement of their livelihood and connect them to main stream of the nation. - Take up issues which are of foremost concern in the national development, like environment protection, sanitation, women empowerment and education, etc. - Company has contributed ₹ 38.91 crore to PM CARES Fund during the reporting period.																		
2.	Are the programmes/ projects undertaken through in-house team/own foundation/ external NGO/ government structures/ any other organization?	Being small manpower organization, mostly, CSR projects undertaken under CSR & Sustainable Development policy are through implementing agencies being Govt./Semi Govt./ other Implementing Agencies eligible as per applicable CSR provisions.																		
3.	Have you done any impact assessment of your initiative?	Projects/Programmes sanctioned with expenditure of ₹ 1 crore or more, shall be subject to mandatory Impact Assessment Study conducted by Independent external agencies. However, the Company reserves the right to conduct Impact Assessment Study of any project irrespective of its value. Impact Assessment is being done by the Implementing agencies wherever applicable.																		
4.	What is your Company's direct contribution to community development projects - Amount in INR and the details of the projects undertaken?	During the year 2021-22, IRFC undertook various Community Development projects in the field of sanitation, skill development and education, environment and health sector under CSR initiatives of the Company. IRFC's contribution in terms of amount sanctioned and disbursed are as given below: (₹ in Cr) <table> <tr> <th>Nature of Activities</th><th>Sanctioned</th><th>Disbursement</th></tr> <tr> <td>Sanitation/Waste Management/ Drinking Water</td><td>5.33</td><td>3</td></tr> <tr> <td>Skill Development and Education</td><td>4.43</td><td>1.11</td></tr> <tr> <td>Solar Application Environment/ Tree Plantation/ Health Sector</td><td>60.30</td><td>40.91</td></tr> <tr> <td>Others (Impact Studies, Admin. Overheads, Saubhagya, Arrah and Sitamarhi district village Dev. programmes & restoration of Kedarnath & its surrounding areas)</td><td>Nil</td><td>Nil</td></tr> <tr> <td>Total</td><td>70.06</td><td>45.02</td></tr> </table>	Nature of Activities	Sanctioned	Disbursement	Sanitation/Waste Management/ Drinking Water	5.33	3	Skill Development and Education	4.43	1.11	Solar Application Environment/ Tree Plantation/ Health Sector	60.30	40.91	Others (Impact Studies, Admin. Overheads, Saubhagya, Arrah and Sitamarhi district village Dev. programmes & restoration of Kedarnath & its surrounding areas)	Nil	Nil	Total	70.06	45.02
Nature of Activities	Sanctioned	Disbursement																		
Sanitation/Waste Management/ Drinking Water	5.33	3																		
Skill Development and Education	4.43	1.11																		
Solar Application Environment/ Tree Plantation/ Health Sector	60.30	40.91																		
Others (Impact Studies, Admin. Overheads, Saubhagya, Arrah and Sitamarhi district village Dev. programmes & restoration of Kedarnath & its surrounding areas)	Nil	Nil																		
Total	70.06	45.02																		

5.	Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.	Implementing Agencies are under obligation to complete the project as per the proposal and duration agreed in the MoU. Implementing agencies submit status report of the project from time to time on monthly/Quarterly/yearly basis. The Implementing agency is also required to submit the project completion report along with the Photographs and videos. Further, the implementing agencies are required to submit the utilization certificate duly signed by a Chartered Accountant in Practice. Project(s) with outlay exceeding of ₹ 1 (one) crore are subject to the Impact Assessment Study.
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Principle 9 - Customer Value

1.	What percentage of customer complaints/ consumer cases are pending as on the end of financial year.	The total number of complaints received during the year 2021-22 were 2,641 out of which 1,579 are bond related complaints and 1,062 complaints are related to Equity, which were resolved, and no complaints were pending at the end of the year.
2.	Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/No/NA/Remarks	Not Applicable
3.	Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years and pending as on end of financial year? If so, provide details thereof, in about 50 words or so.	Nil
4.	Did your Company carry out any consumer survey/ consumer satisfaction trends?	Not Applicable